

Industry remained resilient in April

- German factory orders fell by 3.8% m/m, with core orders down by the same amount, broadly in line with our expectations. But the drop followed on a large gain in March. Orders remained above pre-war levels.
- Today's figures confirm our expectations that the German economy and industry in general are faring relatively better than feared, thanks to a precautionary inventory buildup and some noncyclical support factors.

German factory orders fell 3.8% m/m, with core orders down by the same amount. This happened after a recent streak of solid readings, so the level of core orders remains above the previous quarter's. Chemicals were a bright spot: despite a modest contraction, order levels held near three-year highs, supported by energy-crisis-driven demand. On the other hand, new orders in automotive, electrical equipment and machinery and equipment dropped significantly. Capital and consumer goods were both down over the month. Domestic and foreign demand also fell, with the Eurozone the weakest spot, though demand from outside the bloc was marginally higher. Real turnover increased marginally, after an upward revision of the March figure, so it's not obvious that industry will be a drag on Q2 at this stage.

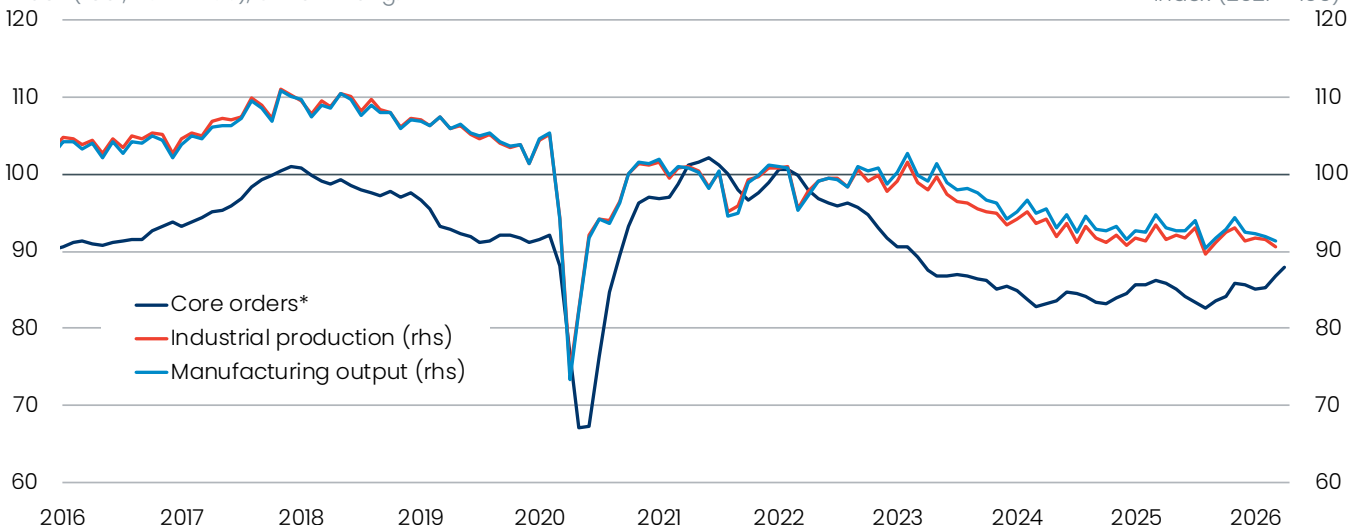
The print was in line with [recent surveys](#) that, despite some stabilisation, remain heavily tilted toward pessimism in the short term. The German economy is seemingly holding up relatively well. We think Eurozone [business investments](#) will be hit but remain more resilient to the effects of the Middle East conflict than the adverse macro backdrop would normally imply. However, today's data shows some downside risk for the Eurozone investments. What's more, risks are tilted to the downside, with uncertainty remaining elevated, as yesterday's break of the ceasefire between Israel and Iran confirmed.

Chart 1: Core orders are faring relatively well

Germany: Factory orders by main sectors

Index (real, 2021 = 100), 3-month avg.

Index (2021 = 100)



Sources: Oxford Economics, Haver Analytics